

13-1d Economic Profit versus Accounting Profit

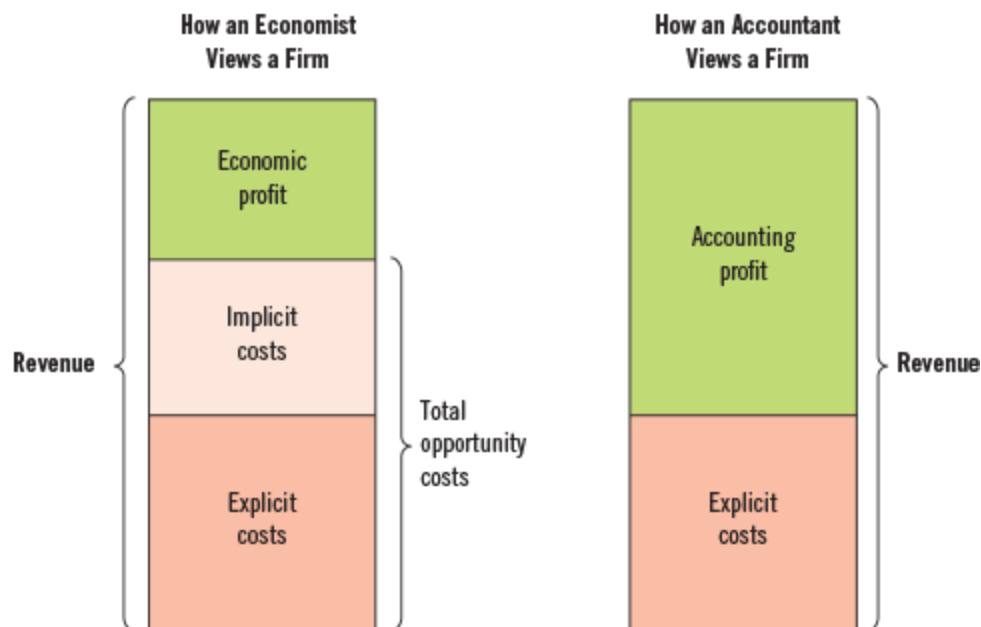
Now let's return to the firm's objective: profit. Because economists and accountants measure costs differently, they also measure profit differently. An economist measures a firm's **economic profit** (total revenue minus total cost, including both explicit and implicit costs) as its total revenue minus all its opportunity costs (explicit and implicit) of producing the goods and services sold. An accountant measures the firm's **accounting profit** (total revenue minus total explicit cost) as its total revenue minus only its explicit costs.

Figure 1 summarizes this difference. Notice that because the accountant ignores the implicit costs, accounting profit is usually larger than economic profit. For a business to be profitable from an economist's standpoint, total revenue must exceed all the opportunity costs, both explicit and implicit.

Figure 1

Economists versus Accountants

Economists include all opportunity costs when analyzing a firm, whereas accountants measure only explicit costs. Therefore, economic profit is smaller than accounting profit.



Economic profit is an important concept because it motivates the firms that supply goods and services. As we will see, a firm making positive economic profit will stay in business. It is covering all its opportunity costs and has some revenue left to reward the firm's owners.

When a firm is making economic losses (that is, when economic profits are negative), the business owners are failing to earn enough revenue to cover all the costs of production. Unless conditions change, the firm owners will eventually close down the business and exit the industry. To understand business decisions, we need to keep an eye on economic profit.

QuickQuiz

1. Farmer McDonald gives banjo lessons for **\$20** per hour. One day, he spends **10** hours planting **\$100** worth of seeds on his farm. What total cost has he incurred?
 - a. **\$100**
 - b. **\$200**
 - c. **\$300**
 - d. **\$400**

2. Xavier opens up a lemonade stand for two hours. He spends **\$10** for ingredients and sells **\$60** worth of lemonade. In the same two hours, he could have mowed his neighbor's lawn for **\$40**. Xavier earns an accounting profit of ____ and an economic profit of ____ .
 - a. **\$50; \$10**
 - b. **\$90; \$50**
 - c. **\$10; \$50**
 - d. **\$50; \$90**